

We don't consider the President.



But would the
administration's
fiscal objectives be
relevant for

We **DON'T**
consider the
President.



Does the Fed Consider the President?

Lucas Cain

The University of Chicago

April 29, 2025

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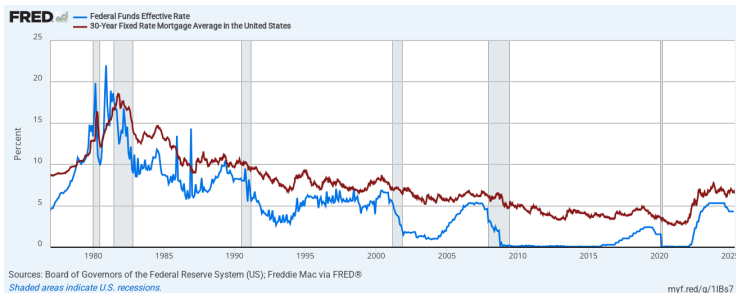
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Monetary Policy

Does the Fed
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- ▶ Dual (trial?) mandate
- ▶ FFR



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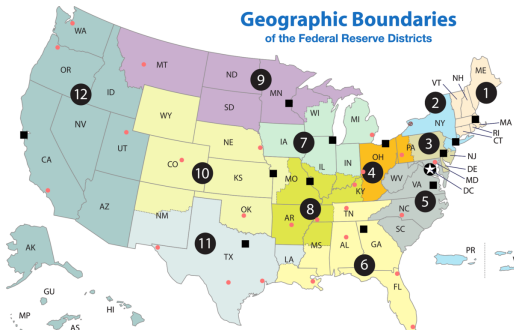
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Structure

- ▶ Board of Governors
 - ▶ Appointment
 - ▶ Terms
- ▶ Reserve Bank Presidents
 - ▶ Appointment
- ▶ FOMC



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PLANET MONEY

LISTEN & FOLLOW



A primer on the Federal Reserve's independence

APRIL 23, 2025 · 11:50 AM ET

By Darian Woods, Wailin Wong, Corey Bridges, Brittany Cronin, Julia Ritchey



19-Minute Listen

+ PLAYLIST

TRANSCRIPT



Central Bank Independence

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- ▶ Increasing since Treasury-Fed Accord 1951
- ▶ Good for Inflation Control
 - ▶ (Alesina et al.) (Rogoff and Sibert) (Romelli)
- ▶ Always under the shadow of legislation
 - ▶ (Binder and Spindel)
- ▶ Electoral Business Cycle
 - ▶ (Abrams and Iossifov) (Alesina et al.)
(Canes-Wrone and Park) (Rogoff and Sibert)

- ▶ Executive Order 14215 (all non-monetary policy)
- ▶ General antagonism



Donald J. Trump
@realDonaldTrump

The ECB is expected to cut interest rates for the 7th time, and yet, "Too Late" Jerome Powell of the Fed, who is always TOO LATE AND WRONG, yesterday issued a report which was another, and typical, complete "mess!" Oil prices are down, groceries (even eggs!) are down, and the USA is getting RICH ON TARIFFS. Too Late should have lowered Interest Rates, like the ECB, long ago, but he should certainly lower them now. Powell's termination cannot come fast enough!

175 ReTruths 713 Likes

Apr 17, 2025, 11:12 AM



Nixon Tapes

(Abrams)

- ▶ “I don’t much, I really don’t care what you do in April, but between now and April... that can hurt us... in November.”
- ▶ “Do you feel, as far as Arthur [Burns] and the money supply, we got that about as far as we can turn it right now, have we? I mean as far as my influence on him, that’s what I’m really asking.”
- ▶ Shultz: “I think it was good to have that discussion about the procedures for appointment [to the Board] so that he sees that he doesn’t have complete control.”
- ▶ “Well, he’s just got to realize that it’s, uh, like it is with [Supreme Court Chief Justice Warren] Burger... I’m not going to let him name his people.”

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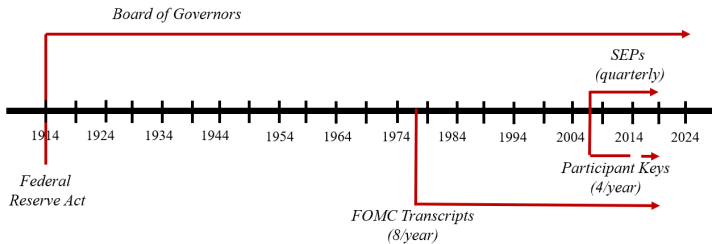
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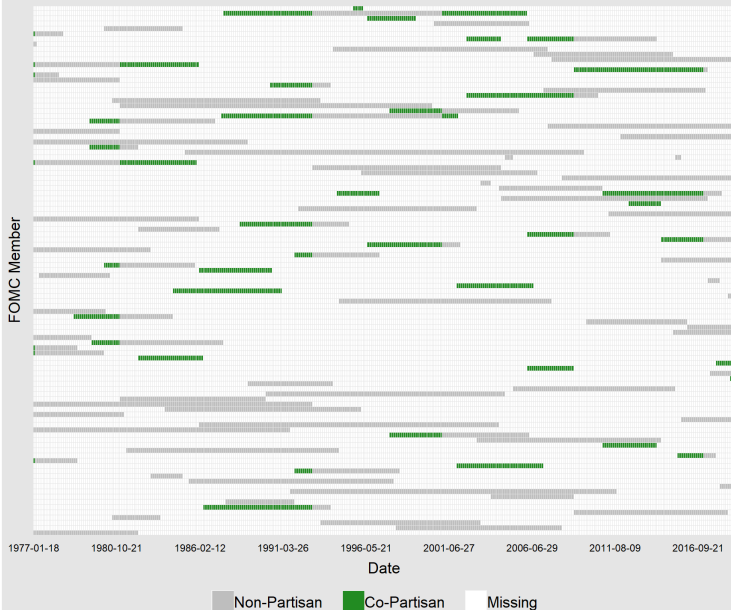
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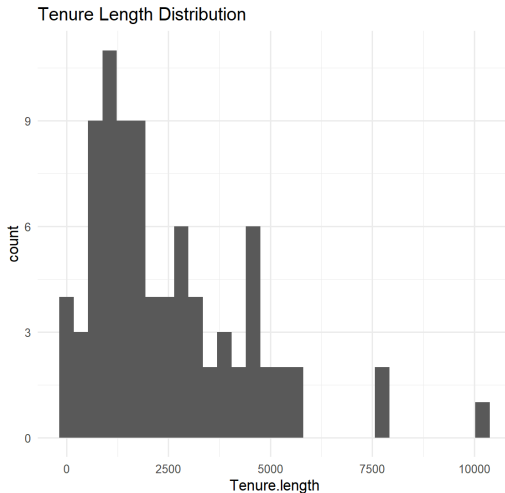
Treatment Status



FOMC Membership

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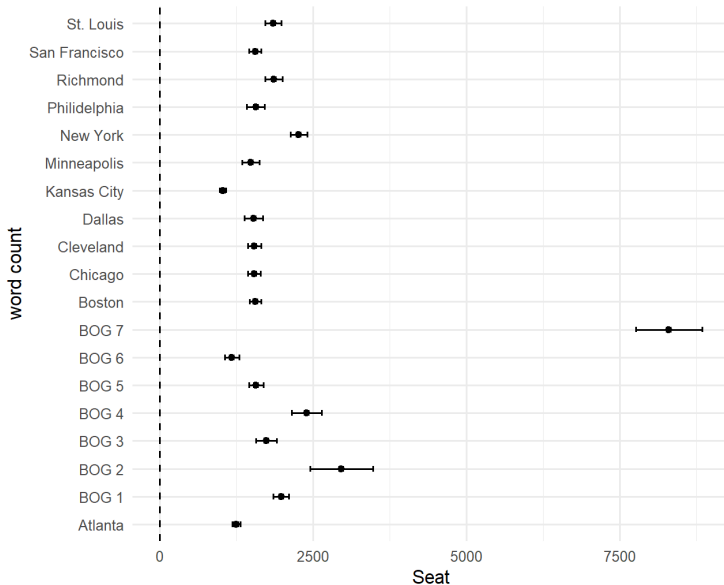
Transcript of Federal Open Market Committee Meeting of January 17-18, 1977

[Executive session]

CHAIRMAN BURNS. Gentlemen, this meeting will now come to order, please. There are several items that I thought would be best taken up in executive session. And one of them is the agreement concluded by the central bankers in Basel concerning the establishment of a facility for handling official sterling balances. The agreement has been distributed to the members of the Committee. I hope you've all had an opportunity to review it. I'll call on Governor Wallich to summarize the essentials of this agreement in a few sentences. And then we will discuss it, and at the end of our discussion, I hope that someone will be good enough to move ratification of the agreement. Mr. Wallich, please.

MR. WALLICH. The purpose of the agreement--which exists in principle, and its main components remain to be finalized in a few details--is to reduce official sterling balances. These

Variation in Word Count



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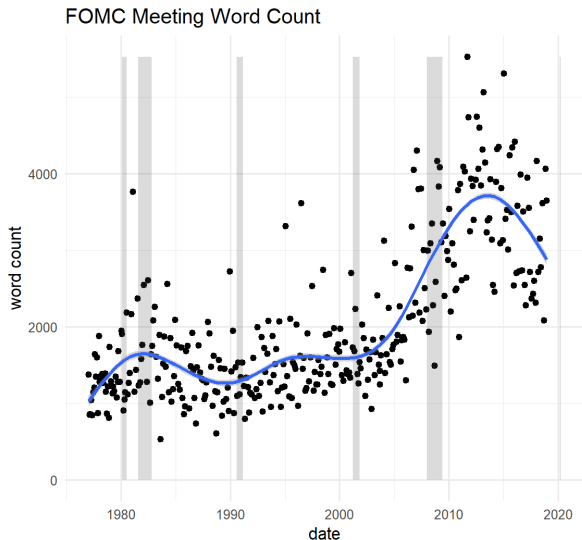
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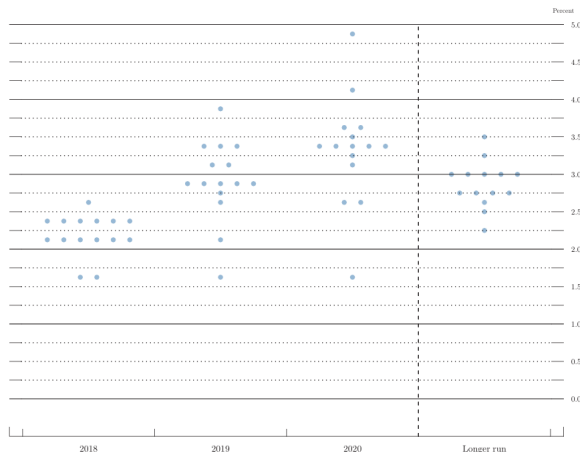
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- ▶ Forward Guidance moves markets
 - ▶ (4) (Couture)

Figure 2. FOMC participants' assessments of appropriate monetary policy: Midpoint of target range or target level for the federal funds rate



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**Key for Participant Numbers Used in the Anonymous Projections Package
March 20-21, 2018, FOMC Meeting**

Participant Number	Participant Name	Participant Affiliation
1	Charles L. Evans	Chicago Reserve Bank
2	Raphael Bostic	Atlanta Reserve Bank
3	Robert S. Kaplan	Dallas Reserve Bank
4	Randal Quarles	Office of Board Members
5	John C. Williams	San Francisco Reserve Bank
6	James Bullard	St. Louis Reserve Bank
7	Thomas I. Barkin	Richmond Reserve Bank
8	Eric Rosengren	Boston Reserve Bank
9	William Dudley	New York Reserve Bank
10	Esther George	Kansas City Reserve Bank
11	Neel Kashkari	Minneapolis Reserve Bank
12	Chairman Powell	Office of Board Members
13	Loretta J. Mester	Cleveland Reserve Bank
14	Lael Brainard	Office of Board Members
15	Patrick T. Harker	Philadelphia Reserve Bank

Causal Mechanism

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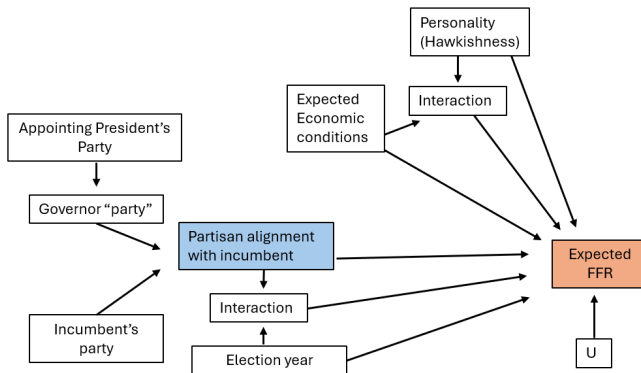
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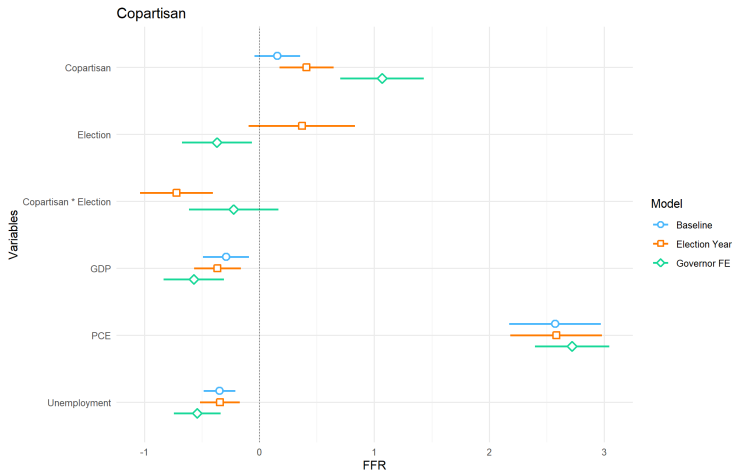
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Co-partisanship and Projections

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Stacked Diff-in-Diff

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$$\theta_{\kappa}^e = \sum_{a \in \Omega_{\kappa}} ATT(a, a + e) \times \frac{N_a^D}{N_{\Omega_{\kappa}}^D}$$

(Wing et al.)

- ▶ Weighted average of group time ATTs
 - ▶ appropriate with staggered adoption
 - ▶ captures pre-trends and dynamic effects
 - ▶ Ω_{κ} is a trimmed set, ensuring results aren't compositionally-driven
- ▶ Assumptions:
 - ▶ No pre-trends
 - ▶ Parallel trends
 - ▶ No residual treatment effect*

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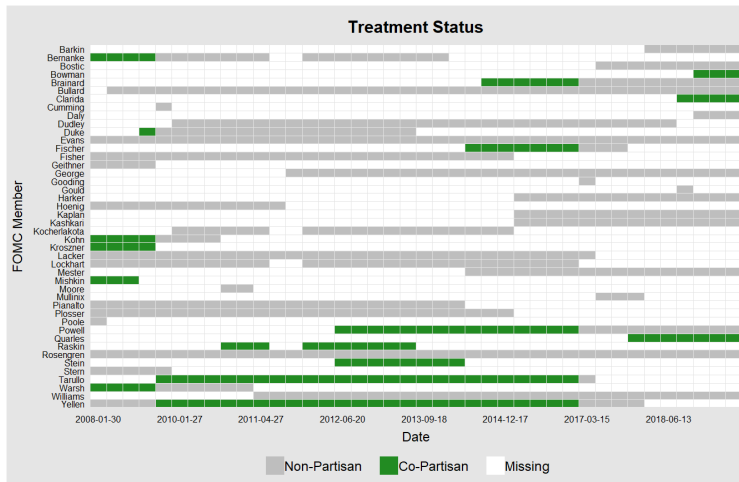
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Does Word Count Approximate Effort?

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	Model 1	Model 2	Model 3
Vote	203.64** (59.52)	196.21** (59.25)	68.91 (66.30)
Date			0.14*** (0.01)
Bank FE	No	No	Yes
Year FE	No	Yes	No
R ²	0.01	0.43	0.37
Adj. R ²	0.01	0.42	0.37
nobs	3926	3926	3926

*** $p < 0.001$; ** $p < 0.01$; * $p < 0.05$

Co-partisan Word Count

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	Model 1	Model 2	Model 3
Chair	7182.27*** (257.07)	7127.61*** (252.40)	7132.19*** (254.03)
Tenure	0.31*** (0.05)	0.42*** (0.05)	0.42*** (0.05)
Copartisan	269.53 (140.18)	-305.65 (167.89)	-442.56* (219.43)
Current Pres = Appointer		1126.18*** (142.47)	1268.98*** (189.63)
Election Year			20.28 (276.46)
Appointer Current * election			-306.64 (239.39)
Copartisan * election			280.10 (332.20)
R ²	0.65	0.66	0.66
Adj. R ²	0.65	0.66	0.66
nobs	1865	1865	1865

*** $p < 0.001$; ** $p < 0.01$; * $p < 0.05$

Who Makes Reference?

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Instances per 1000 words

	"President"	"Congress"
Chair	3.56*** (0.19)	0.02 (0.03)
Date	0.00*** (0.00)	-0.00 (0.00)
Copartisan	0.31** (0.10)	-0.01 (0.05)
Election	-0.13 (0.11)	-0.01 (0.05)
Tenure	-0.00 (0.00)	-0.00*** (0.00)
Copartisan * Election	0.04 (0.14)	-0.05 (0.07)
R ²	0.49	0.01
Adj. R ²	0.48	0.01
nobs	1865	1865

*** $p < 0.001$; ** $p < 0.01$; * $p < 0.05$

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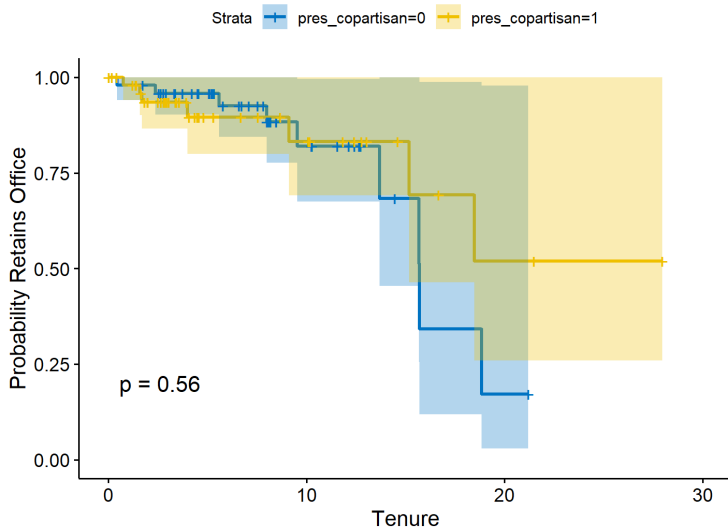
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- ▶ Prevalent among federal judges
 - ▶ (Nixon and Haskin) (Deschler and Sen)
 - ▶ But not SCOTUS (Brenner)
- ▶ From 1914-Present, 54.1% of years have a Democratic President
- ▶ Democrat-appointed Governors retired during a co-partisan's term 56.1% of the time
 - ▶ Republican-appointed Governors 45.9%
 - ▶ No difference post-Reagan

Survivorship by Presidential Copartisanship



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- ▶ Do Fed Governors make co-partisan projections?
 - ▶ Maybe in election years, but opposite otherwise
- ▶ Do Fed Governors try harder during their co-partisan's term?
 - ▶ Only if the current President is their appointer
- ▶ Do Fed Governors talk about the President?
 - ▶ Yes, especially co-partisans
 - ▶ Especially the Chair
 - ▶ More than Congress
- ▶ Do Fed Governors retire strategically?
 - ▶ No

Directions

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- ▶ Improvements
 - ▶ Refine co-partisanship
 - ▶ Better control group
- ▶ Congressional Pressure
- ▶ Power of the Chair
 - ▶ Agenda options v. SEP
- ▶ How regional are the regional banks?
 - ▶ FOMC used to be advisory. What changed with centralization?
 - ▶ Representation by region
- ▶ Alternates

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